

Actuarial Memorandum: Motor Insurance Pricing Q2 2025

1. Executive Summary

Recent claims data shows that drivers under 25 years of age represent a disproportionate share of motor insurance losses. In the Northern region, this cohort has a claim frequency 47% higher than the portfolio average. Combined with rising repair costs (+12% YoY) and a 9% increase in third-party liability claims, we recommend repricing the under-25 segment in the North by 8-12%.

2. Regulatory Context

The Insurance Regulatory Authority Circular 2024-08 permits age-banded pricing for motor insurance provided the differential is actuarially justified and disclosed in the policy schedule. Pricing actions exceeding 15% require board approval and a 30-day customer notification period.

3. Claims Frequency by Age Band

Age Band	Region	Avg Premium	Claim Freq	Loss Ratio
18-25	North	1450	0.38	78%
18-25	South	1280	0.31	64%
26-45	North	920	0.18	52%
26-45	South	860	0.16	49%
46-65	North	780	0.14	46%
66+	North	1050	0.22	58%

4. Recommendation

Increase motor premium by 8-12% for under-25 drivers in the Northern region. Hold rates flat for under-25 drivers in other regions pending a Q3 review. Maintain current pricing for the 26-45 age band where loss ratios remain within target.